higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

# MARKING GUIDELINE

## NATIONAL CERTIFICATE (VOCATIONAL)

## APPLIED ACCOUNTING
(First Paper)
**NQF LEVEL 4**

**26 FEBRUARY 2019**

**This marking guideline consists of 12 pages.**

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## SECTION A

## QUESTION 1

1.1

| | |
|---|---|
| 1.1.1 | B |
| 1.1.2 | E |
| 1.1.3 | G |
| 1.1.4 | A |
| 1.1.5 | D |

(5 × 1) (5)

1.2

| | |
|---|---|
| 1.2.1 | D |
| 1.2.2 | D |
| 1.2.3 | B |
| 1.2.4 | A |
| 1.2.5 | B |

(5 × 1) (5)

1.3 1.3.1 (R625 000✓ – R3 600✓) × 100/225✓ = R276 177✓ (4)

1.3.2 R621 400✓ – R276 177 ☑ = R345 223 ☑ (3)

1.3.3 Gross profit + income – less expenses

R345 223 + R26 000✓
– (R28 400✓ + R12 200✓ + R3 100✓ + 62 400✓)
= R265 123☑ (6)

1.3.4
- It measures the financial performance of the business.
- It shows whether the business made a profit or a loss for the financial year.
- It will indicate, at a quick glance, which expenses are high and need monitoring and controlling.

(Any TWO relevant answers) (2 × 1) (2)

1.3.5
- The operating expenses of a business are very high.
- The mark-up or gross profit percentage on the products that the business is selling is high.

(Any relevant answer) (Any 1 × 1) (1)

1.3.6
- Bad debts are the debts that have already gone bad/are irrecoverable✓ and are an expense✓
- Provision for bad debts is created at the end of the financial year to take into consideration debts that could possibly go bad. These debts have not yet gone bad.✓ The provision is a current liability.✓

(Any relevant answer) (Any 2 × 2) (4)

**[30]**

## QUESTION 2

2.1 2.1.1 DEPRECIATION
Old:
= R210 000 – 26 200✓ = R183 800
= R183 800 × 10%✓
= R18 380

New:
= R30 000✓ × 10/100✓ × 4/12✓
= R1 000

**Total depreciation in the Income Statement**
R18 380✓ + R1 000✓
= R19 380 (7)

2.1.2 R26 200✓ + R19 380 ☑ = R45 580 ☑ (3)

2.1.3

| DETAILS | FOL | DEBIT | CREDIT |
|---|---|---|---|
| Equipment✓ | CPJ | 30 000 | |
| Bank✓ | CPJ | | 30 000 |

(✓ **for R30 000 for BOTH debit and credit entries)** (3)

2.1.4 **EQUIPMENT** **B5**

| Date | Detail | Fol | Amount | | Date | Detail | Fol | Amount | |
|---|---|---|---|---|---|---|---|---|---|
| 2018 Jan 01 | Balance | b/d | ✓210 000 | 00 | 2018 Dec 31 | Balance | c/d | ✓240 000 | 00 |
| 2018 Aug 31 | Bank✓ | CPJ | ✓30 000 | 00 | | | | | |
| | | | 240 000 | 00 | | | | 240 000 | 00 |
| 2019 Jan 01 | Balance | b/d | 240 000 | 00 | | | | | |

(4)

**(Where ONE mark is allocated, the entire line must be correct to award the mark.)**

2.1.5 R240 000✓
(R45 580) ☑
R194 420☑ (3)

2.2 2.2.1 R225 000 × 12/100✓ × 5/12✓ = R11 250✓

R225 000 × 14/100✓ × 1/12✓ = R2 625✓

Total: R11 250 + R2 625 = R13 875✓ (7)

2.2.2 R13 875 – R12 880

= R995✓ (1)

2.2.3

| | | |
|---|---|---|
| ASSETS: | No effect | (Allocate marks for the effect only, NOT the amount) |
| OWNER'S EQUITY | Decrease / (-)✓ | |
| LIABILITIES | Increase/ (+)✓ | |

(2)

**[30]**

**TOTAL SECTION A: 60**

## SECTION B

## QUESTION 3

**GENERAL JOURNAL OF CELL ZONE - 30 JUNE 2018** **GJ1**

| No. | Details | Debit | Credit | Debtors Control | | Creditors Control | |
|---|---|---|---|---|---|---|---|
| | | | | Debit | Credit | Debit | Credit |
| 1 | Salaries and wages✓ | 10 000✓ | | | | | |
| | Computer expenses✓ | | 10 000 | | | | |
| 2 | Interest on loan✓ | 11 448✓ | | | | | |
| | Accrued expense✓ | | 11 448 | | | | |
| 3 | Trading stock deficit✓ | 1 500✓ | | | | | |
| | Trading stock✓ | | 1 500 | | | | |
| | Packing material on hand✓ OR consumable stores on hand | 400✓ | | | | | |
| | Packing material✓ | | 400 | | | | |
| 4 | Depreciation✓ | 26 601✓ | | | | | |
| | Accumulated depreciation on vehicles✓ | | 26 601 | | | | |
| | Depreciation✓ | 24 103✓ | | | | | |
| | Accumulated depreciation on equipment✓ | | 24 103 | | | | |

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| No. | Details | Debit | Credit | Debtors Control | | Creditors Control | |
|---|---|---|---|---|---|---|---|
| | | | | Debit | Credit | Debit | Credit |
| | OR | | | | | | |
| | Depreciation✓ | 50 704✓ | | | | | |
| | Accumulated depreciation on vehicles✓ | | 26 601✓ | | | | |
| | Accumulated depreciation on equipment✓ | | 24 103✓ | | | | |
| 5 | Bank✓ | 550 ✓ | | | | | |
| | Debtors control / C.Moloi✓ | | 550 | | 550✓ | | |
| | Bad debts✓ | 1 650 | | | | | |
| | Debtors control / C.Moloi✓ | | 1 650 | | 1 650✓ | | |
| 6 | Provision for bad debts adjustment✓ | 1 624✓ | | | | | |
| | Provision for bad debts ✓ | | 1 624 | | | | |
| 7 | Subscriptions✓ | 1 860✓ | | | | | |
| | Accrued expense✓ | | 1 860 | | | | |
| 8 | Drawings✓ | 300✓ | | | | | |
| | Bank✓ | | 300 | | | | |
| 9 | Prepaid expenses✓ | 10 000✓ | | | | | |
| | Rent expense✓ | | 10 000 | | | | |
| 10 | Bank✓ | 450✓ | | | | | |
| | Bad debts recovered✓ | | 450 | | | | |

**(NOTE: The debit AND credit amounts must be correct to earn ONE mark for the amounts.)**

**[40]**

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## QUESTION 4

### GENERAL LEDGER OF POLKA DOT ENTERPRISES

DR CR

**INCOME RECEIVED IN ADVANCE B13**

| Date | Details | Fol | Amount | Date | Details | Fol | Amount |
|---|---|---|---|---|---|---|---|
| 31 Oct 2018 | Balance | c/d | ✓ 4 000 | 31 Oct 2018 | Rent income ✓ | GJ | 4 000✓ |
| | | | | | | | |

(3)

**RENT INCOME N4**

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 31 Oct 2018 | Income received in advance✓ | GJ | ✓4 000 | 31 Oct 2018 | Bank/Total ✓ | CRJ | ✓✓56 000 |
| | Profit and loss✓ | GJ | ✓52 000 | | | | |
| | | | 56 000 | | | | 56 000 |
| | | | | | | | |

(7)

**TRADING ACCOUNT**

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 31 Oct 2018 | Cost of sales | GJ | ✓ 205 010 | 31 Oct 2018 | Sales | GJ | 565 940 |
| | Profit and loss ✓ | GJ | ✓ 360 930 | | (569 580✓ - 3 640✓) | | |
| | | | 565 940 | | | | 565 940 |
| | | | | | | | |

(5)

## GENERAL LEDGER OF POLKA DOT ENTERPRISES

DR CR

### PROFIT AND LOSS ACCOUNT

| Date | Details | Fol | Amount | Date | Details | Fol | Amount |
|---|---|---|---|---|---|---|---|
| 31 Oct 2018 | Salaries and wages | GJ | ✓198 500 | 31 Oct 2018 | Trading account✓ | GJ | ☑ 360 930 |
| | Rates and taxes | GJ | ✓19 801 | | Rent income | GJ | ✓ 52 000 |
| | Staff training | GJ | ✓11 570 | | Interest received | GJ | ✓4 600 |
| | Discount allowed | GJ | ✓2 530 | | | | |
| | Bad debts | GJ | ✓4 050 | | | | |
| | Telephone | GJ | ✓1 890 | | | | |
| | Sundry expenses | GJ | ✓14 504 | | | | |
| | Trading stock deficit | GJ | ✓2 086 | | | | |
| | Depreciation | GJ | ✓50 939 | | | | |
| | Capital✓ | GJ | ☑ 111 660 | | | | |
| | | | 417 530 | | | | 417 530 |
| | | | | | | | |

(15)
**[30]**

**(Where ONE mark is allocated, the entire line must be correct to award the mark.)**

**QUESTION 5**

5.1 **INCOME STATEMENT OF THE SPICE SHOP FOR THE YEAR ENDED 28 FEBRUARY 2018**

| | | | |
|---|---|---|---|
| Sales (552 400✓ – 5 700✓) | | | 546 700 |
| LESS: Cost of sales | | | ✓185 700 |
| Gross profit | | | 361 000 |
| PLUS: Other income | | | 75 270 |
| Rent income (72 000✓ – 6 000✓) | | 66 000 | |
| Discount received | | ✓9 270 | |
| Gross income | | | 436 270 |
| LESS: Other expenses | | | (486 013) |
| Insurance (26 135✓ – 1 000✓) | | 25 135 | |
| Salaries and wages | | ✓205 560 | |
| Subscriptions | | ✓8 500 | |
| Advertising | | ✓35 800 | |
| Telephone | | ✓19 850 | |
| Bad debts (4 580✓ + 450✓) | | 5 030 | |
| Stationery | | ✓9 645 | |
| Sundry expenses | | ✓48 505 | |
| Property maintenance | | ✓36 850 | |
| Depreciation (15 650✓ + 68 160✓) | | 83 810 | |
| Trading stock deficit (165 800 – 164 000) | | ✓1 800 | |
| Consumable goods (1 500✓ – 875✓) | | 625 | |
| Provision for bad debts adjustment | | ✓4 903 | |
| Net loss before interest received | | | (49 743) |
| Interest received (15 600✓ + 900✓) | | | 16 500 |
| **NET LOSS☑** | | | **(33 243)** |

(26)

5.2 **BALANCE SHEET OF THE SPICE SHOP AT 28 FEBRUARY 2018**

| **ASSETS** | **NOTE** | | |
|---|---|---|---|
| **Noncurrent assets** | | | 1 062 190 |
| Property, equipment and vehicles | 1 | ☑912 190 | |
| Fixed deposit: Goldie Bank (11%) | | ✓150 000 | |
| | | | |
| **Current assets** | | | 415 436 |
| Stock (164 000✓ + 875✓) | | 164 875 | |
| Trade and other debtors/receivables | | ☑95 051 | |
| Cash and cash equivalents (150 510✓ + 2 000✓ + 3 000✓) | | 155 510 | |
| **TOTAL ASSETS** | | | 1 477 626 |
| | | | |
| **EQUITY AND LIABILITIES** | | | |
| **Owner's equity** | | | 1 416 757☑ |
| Capital | | 1 416 757 | |
| | | | |
| **Noncurrent liabilities** | | | - |
| | | | |
| **Current liabilities** | | | 60 869 |
| Trade and other creditors/payables (54 869✓ + 6 000✓) | | 60 869 | |
| **TOTAL EQUITY AND LIABILITIES** | | | 1 477 626 |

☑ Do not penalise twice (principle marking)

(11)

**NOTES TO THE BALANCE SHEET**

| **1. Noncurrent assets** | **Cost price** | **Accumulated depreciation** | **Net carrying amount** |
|---|---|---|---|
| Land and buildings | 400 000 | - | ✓400 000 |
| Vehicles | 568 000 | ☑ (196 660) | ☑371 340 |
| Equipment | 189 000 | ☑(48 150) | ☑140 850 |
| | 1 157 000 | (244 810) | 912 190 |

**(The principle marks must be awarded provided that the depreciation was included.)** (5)

| **2. Trade and other receivables** | | 95 051 |
|---|---|---|
| Debtors control (98 504✓ – 450 ✓) | 98 054 | |
| LESS: Provision for bad debts | ☑ (4 903) | |
| ADD: Accrued income : Interest received | ☑900 | |
| ADD: Prepaid expenses: Insurance | ☑1 000 | |

(5)

| **3. Capital** | | 1 416 757 |
|---|---|---|
| Balance (1 March 2017) | ✓ 1 650 000 | |
| LESS: Net loss | ☑ 33 243 | |
| LESS: Drawings | ✓ 200 000 | |

(3)

☑ Do not penalise twice (principle marking)

**[50]**

## QUESTION 6

| No | GENERAL LEDGER | | Assets | Owner's equity | Liabilities |
|---|---|---|---|---|---|
| | **Account debited** | **Account credited** | | | |
| *E.g.* | *Rent* | *Bank* | *- 14 500* | *- 14 500* | *0* |
| | | | | | |
| 6.1 | Stationery on hand✓ or Consumable stores on hand | Stationery✓ | +1 650✓ | +1 650✓ | 0 |
| | | | | | |
| 6.2 | Accrued income✓ | Commission✓ | +12 000 ✓ | +12 000✓ | 0 |
| | | | | | |
| 6.3 | Accumulated depreciation on vehicles✓ | Accumulated depreciation on equipment✓ | - 12 650✓<br>+ 12 650✓ | 0 | 0 |
| | | | | | |
| 6.4 | Drawings✓ | Vehicles✓ | - 420 000✓ | - 420 000✓ | 0 |
| | | | | | |
| 6.5 | Capital ✓ | Drawings✓ | 0 | + 525 000✓<br>- 525 000✓ | 0 |
| | | | | | |

**[20]**

**TOTAL SECTION B: 140**
**GRAND TOTAL: 200**

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